

Financial gold and the trade accounts: why the ITA needs a bullion adjustment

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In the first quarter of 2025 the United States imported roughly 870 tonnes of gold, more than twenty times what Americans buy as jewellery and retail investment in a quarter. Within eleven months the metal had all gone back out. This memo argues that these flows were financial rather than commercial, that the gold market's structure is what makes them so, and that their passage through the International Transactions Accounts left two official measures of the U.S. goods balance pointing in opposite directions for three consecutive quarters. Published GDP is unaffected; the national accounts already remove nonmonetary gold. The monthly trade release does not — and the adjustment that fixes it is arithmetic on published data, verifiable against the national accounts, and safe to apply as the occasion demands.

An outlier among traded goods

Between November 2024 and March 2025 something unusual happened to one line of the U.S. trade accounts. Gold imports, which had run between one and three billion dollars a month for a decade, reached \$34.2 billion in January 2025 alone — 10.5% of all U.S. goods imports in a single month, from a commodity that normally accounts for about one percent.

Then it reversed. Figure 1 places gold against the hundred most-traded U.S. commodity headings on the balance plane: exports on one axis, imports on the other, averaged within three phases. Above the diagonal the United States is a net importer of a good; below it, a net exporter. Most commodities barely move between phases. Gold travels almost vertically upward into the surge, then down and to the right into the reversal, ending as far below the diagonal as it began above it. The right-hand panel shows the same excursion for the partner that carried most of it: Switzerland.

The round trip is the first clue that this was not trade in the ordinary sense. Cumulative net gold imports ran to \$80.0 billion by March 2025 and were back through zero eleven months later, standing at \$47.6 billion *negative* by mid-2026: more metal left than had arrived. Across the whole period since 2015, \$791 billion of gold crossed the U.S. border gross against a net of \$-64 billion. Only 8% of the metal that crossed stayed.

Goods that are bought get consumed, installed or worn. They do not come back.

Nobody at either end wanted the metal

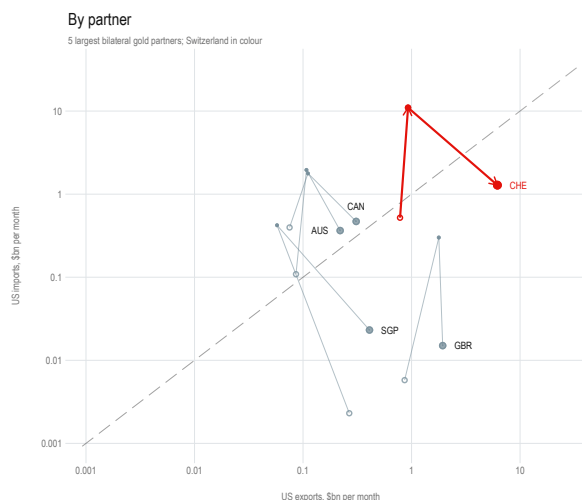
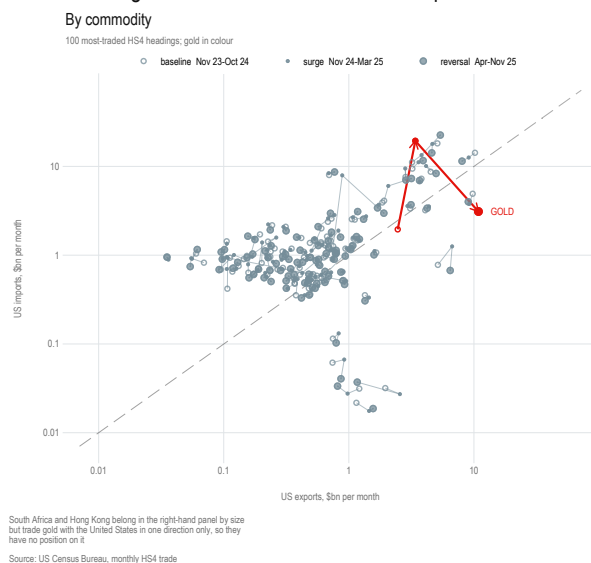
A sceptical reader can still ask whether Americans were simply buying a lot of gold. The answer is arithmetic, and Figure 2 gives it on both sides of the account.

The upper panel sets U.S. gold imports against U.S. demand — jewellery plus bar and coin, which is every ounce Americans buy as ornament or hold as retail investment. That benchmark is deliberately generous: bar and coin is investment rather than fabrication, so including it makes the comparison harder to win.¹ In 2025Q1 the United States imported 870 tonnes against demand of



Gold went in, then came back out

US trade on the balance plane, monthly average within each phase.
Above the diagonal the United States is a net importer



1. Gold's round trip, against every other traded good

Notes: Monthly averages within each phase, log scales. Baseline is November 2023 to October 2024, surge November 2024 to March 2025, reversal April to November 2025.

Sources: U.S. Census Bureau, monthly HS4 trade.

39 tonnes: twenty-two times a quarter's consumption, in one quarter. U.S. demand averages 53 tonnes a quarter over this window and has never exceeded 75.

The lower panel does the same for exports, against the demand of the five destinations that take them. Those five — Canada, Hong Kong, Singapore, Switzerland and the United Kingdom — account for 86.6% of U.S. gold exports to identified countries. Their *combined* gold demand is about 32 tonnes a quarter. Peak quarterly exports to them were 327 tonnes.

The composition is sharper than the ratio. India consumes 184 tonnes a quarter, more than those five put together, and is not among the destinations at all. The United States ships its gold to the five places that barely use any, and not to the one place that uses more than all of them combined. What the five do have in common is infrastructure: Switzerland refines, and London, Hong Kong and Singapore vault.

So something moved 870 tonnes of metal that nobody at either end had any use for, and then moved most of it back. What?

Two prices for the same metal

Gold trades in two places that are not quite the same market. London is an over-the-counter market in 400-ounce *Good Delivery* bars, held unallocated in vaults and settled by book entry. New York is a futures exchange, COMEX, whose contract delivers 100-ounce bars into registered exchange warehouses.² The metal is identical. The venue, the bar, and the legal form of the claim are not.

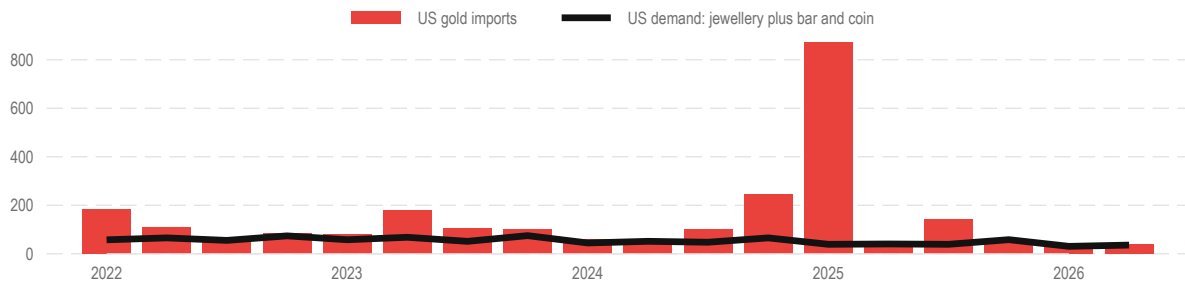


The metal moved in quantities nobody at either end could use

US gold trade against the jewellery and retail investment demand of the countries sending and receiving it

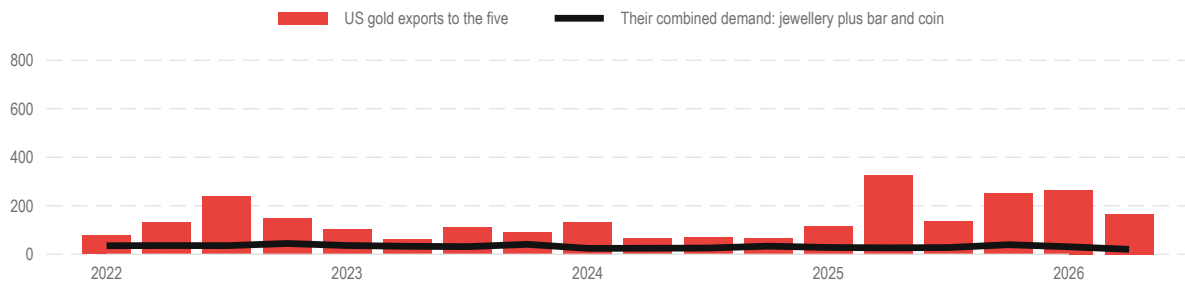
a. US gold imports against everything Americans use gold for

Tonnes a quarter. In 2025Q1 the United States imported 22 times a quarter's worth of its own demand



b. US gold exports against the demand of the five places that take them

Tonnes a quarter. 87% of US gold exports. Their combined demand is about 32t; India, which consumes 184t, is not among them



2. The flows against what the metal is actually used for

Notes: Tonnes a quarter, converted from Census dollar values at the LBMA PM monthly average and 32,150.7 troy ounces to the tonne. Demand is jewellery plus bar and coin. The five destinations are chosen from the trade data, not assumed. The World Gold Council does not break out Swiss jewellery demand, which sits inside a regional aggregate, so Switzerland contributes bar and coin only and the partner benchmark is marginally understated.

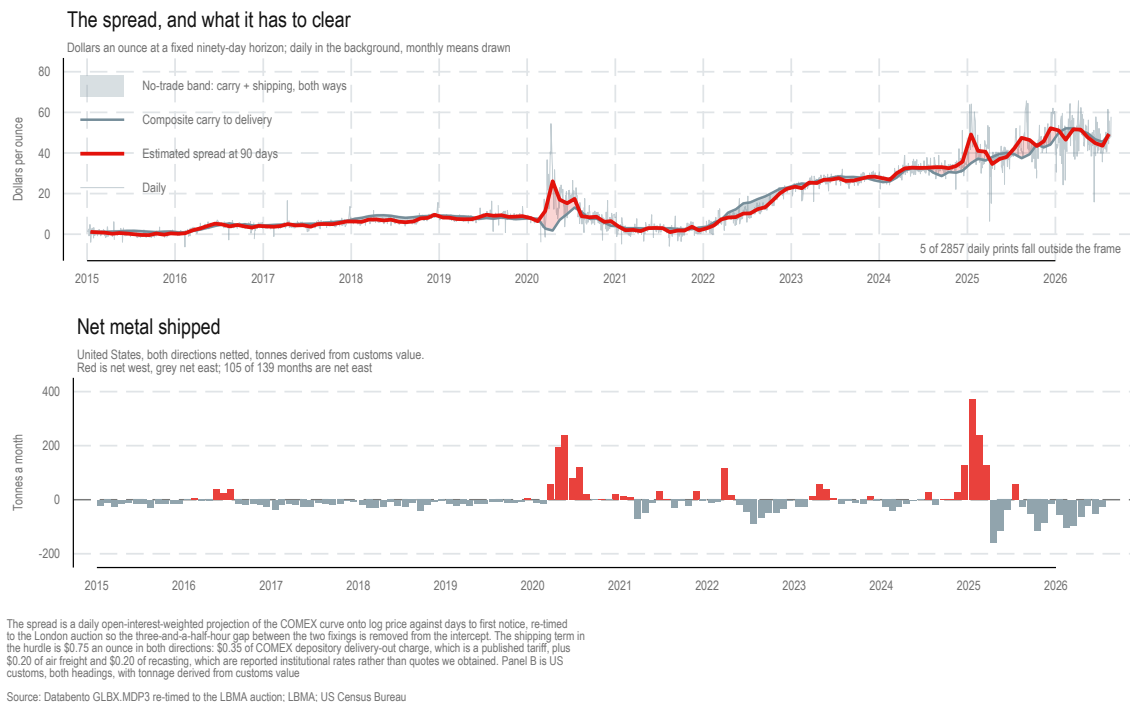
Sources: U.S. Census Bureau; World Gold Council, *Gold Demand Trends*; LBMA.

Because the two can be converted into each other, arbitrage ties their prices together — but only loosely, and the slack is the subject of Figure 3. The futures price should exceed the spot price by the cost of carrying metal to delivery: financing plus storage. That is the same no-arbitrage logic as covered interest parity, with storage cost in place of a foreign interest rate. Our estimate of the New York premium strips out the carry and expresses what remains at a constant ninety-day horizon.³



Gold moves only when the spread clears the cost

The estimated COMEX-London spread against carry plus shipping, and the net metal that crossed. Above the band the westward trade pays; below it the eastward one does



3. The COMEX–London spread against what it has to clear

Notes: The hurdle is carry plus an all-in transfer cost of \$0.75 an ounce: freight and insurance, recasting, and the exchange’s delivery-out charge. Arbitrage pays only when the spread clears it.

Sources: CME via Databento; LBMA; U.S. Census Bureau.

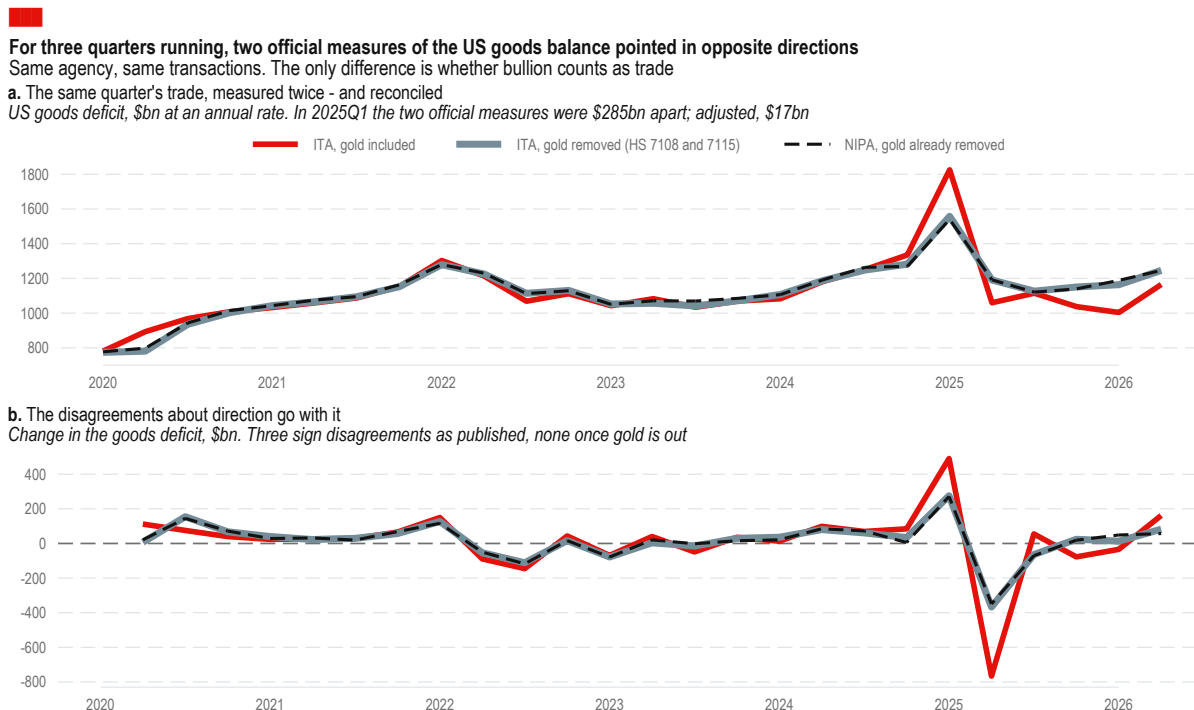
Metal does not move whenever the two prices differ. It moves when the difference exceeds the cost of moving it — freight and insurance, the exchange’s delivery-out charge, and recasting. We put that hurdle at about \$0.75 an ounce.⁴ The relationship is a threshold, not a slope, and Figure 3 shows the spread clearing that threshold in late 2024 and the metal following.

One further feature of the market matters for what the trade statistics record. London bars and COMEX bars are different sizes, so relocating metal between the two generally requires recasting, and the refining capacity sits mostly in Switzerland. A single tonne relocated from London to New York can therefore be recorded as several separate crossings — out of the United Kingdom, into Switzerland, out of Switzerland, into the United States. The gross trade footprint of a relocation substantially exceeds the relocation itself. This is why Switzerland dominates the partner panel of

Figure 1, and why the 2025 episode was cheap in real resources: we estimate the whole operation cost on the order of \$243 million in freight, insurance, recasting and transit financing, about 0.14% of the value shuttled.

What it did to the trade accounts

The Bureau of Economic Analysis publishes the U.S. goods balance twice. The International Transactions Accounts, which underlie the monthly trade release, count nonmonetary gold as a good — correctly, under the international standard.⁵ The national accounts remove it outright, replacing it with domestic production less industrial use. In ordinary times the two barely differ and no one needs to know which they are reading.



4. The same quarter's trade, measured twice

Notes: Quarterly, at annual rates. The adjusted series removes nonmonetary gold (HS 7108 and 7115) from both sides of the ITA balance, which because the balance is imports less exports is the deficit less net gold.

Sources: Bureau of Economic Analysis, International Transactions Accounts and NIPA table 1.1.5; U.S. Census Bureau.

In 2025Q1 they differed by \$285 billion at an annual rate — the ITA goods deficit at \$1,826 billion against the national accounts' \$1,541 billion, a gap of 18.5% of the latter. Four quarters later the gap had swung to *minus* 15.6%. Across the window it correlates 0.99 with net gold trade.

A level gap can be netted out by anyone who knows it is there. A disagreement about direction cannot, and that is what happened next. In the twenty-five quarterly changes since 2020 the two measures disagree about whether the deficit widened or narrowed exactly three times — and all three are consecutive. In 2025Q3 the trade release showed the deficit widening by \$55 billion while the national accounts showed it narrowing by \$71 billion; the next two quarters reversed

that. For three quarters running, one official U.S. measure of the external position said it was improving while the other said it was deteriorating.

The claim is not that either series is wrong. Each treatment is correct for its own purpose. The claim is that a correct series stopped being informative about what its readers use it for, and did so without warning them.

Adjust it yourself, and check your work

The practical conclusion is a modest one: when gold is moving, take it out of the monthly trade balance before reading anything into the number. The adjustment is arithmetic, the inputs are published, and — unusually for an ad-hoc correction — you can verify that you have done it right.

The arithmetic is one line. Because the balance is imports less exports, taking nonmonetary gold out of both sides is the same as subtracting net gold:

$$\text{balance}_t^{\text{adj}} = \text{balance}_t - (\text{gold imports}_t - \text{gold exports}_t).$$

Both terms come from the Census monthly HS series, under headings 7108 and 7115.⁶

What makes this safe rather than merely convenient is that it can be checked. Figure 4's third line is exactly that calculation, and it lands on the national accounts: the mean absolute gap falls from \$48 billion to \$9 billion, the 2025Q1 discrepancy from \$285 billion to \$17 billion, the correlation of quarterly changes rises from 0.918 to 0.992, and all three directional disagreements vanish. The adjusted series does not merely look tidier — it reproduces an independently constructed official aggregate that was built to a different standard by a different part of the same agency. An ad-hoc correction with an external benchmark is not really ad hoc; it is a replication.

A reasonable trigger is gold's share of goods trade. Below about one percent, which is where it sat for most of the decade before 2020, the adjustment changes nothing and can be ignored. Above a few percent it is worth making, and in months like January 2025, when gold reached 10.5% of goods imports, reading the headline without it is reading mostly bullion.

The agencies could make this easier by publishing the goods balance on both bases — as reported, and excluding nonmonetary gold. The underlying series are already collected and the adjustment is already computed for the national accounts, so the cost is close to zero. But nobody needs to wait for that. The data to do it is published every month.

Gold will do this again. The structure that produced the 2025 episode is permanent: two venues, two bar standards, a transfer cost small enough that any material dislocation pays for moving metal, and a stock of above-ground bullion large enough that the quantities which clear it dwarf anything the metal is used for. The next dislocation will move the same kind of volume through the same accounts. Readers who understand why the metal moves, and who adjust for it when it does, will not be misled by the headline.

Notes

¹Technology demand — electronics, dental, industrial — would add little. It runs at roughly 330 tonnes a year for the entire world, and the World Gold Council does not publish it by country.

²A futures contract is a standardised agreement to deliver a commodity at a stated future date; its settlement price is the exchange's official daily mark. Warehouse stocks are reported in two categories, *registered* (available to settle contracts) and *eligible* (stored but not pledged).

³The premium is the intercept of a daily open-interest-weighted projection of the whole futures curve onto days-to-delivery, less London spot, corrected for the three-and-a-half hours between the COMEX settlement and the London benchmark. Regressing on the raw dollar spread would confound the dislocation with the delivery calendar: at 4.5% financing on \$4,400 gold, the roll alone generates a sawtooth of about \$33 an ounce.

⁴Roughly \$0.20 freight and insurance, \$0.20 recasting, and \$0.35 for delivery out of a CME-approved depository. The relationship is therefore kinked, not linear: below the hurdle nothing moves.

⁵BPM6 classifies nonmonetary gold as a good and monetary gold as a financial asset. The ITA treatment is not an error.

⁶HS 7108 is unwrought and semi-manufactured gold; 7115 covers articles of precious metal, under which a large share of the 2025 bar inflow was entered. Using 7108 alone would miss most of the episode.